

# Return and Refund Policy

How Lumen Retail Group accepts returns and issues refunds in stores and on Lumen.com

|           |                  |          |                                                      |
|-----------|------------------|----------|------------------------------------------------------|
| Document  | POL-RET-014      | Owner    | Customer Experience                                  |
| Version   | 4.2              | Audience | All store, contact-center and fulfillment colleagues |
| Effective | January 15, 2026 |          |                                                      |

## 1. Purpose and scope

This policy sets out how Lumen Retail Group ("Lumen") accepts returns and issues refunds at its 24 stores and on Lumen.com. It applies to every colleague who processes a return, answers a customer question about one, or approves an exception. It replaces version 4.1 (March 1, 2025) in full.

The policy balances two goals: customers should be able to return a purchase easily, and the cost of returns that could have been avoided (opened electronics, bulky furniture, abused promotions) should not fall on everyone else. The restocking fees in section 2 are how that balance is set. Asset Protection issues separate memos on fraud controls; those memos supplement this policy and win where they are stricter.

## 2. Return windows and restocking fees

The table below applies to purchases made in stores and on Lumen.com. A restocking fee is a percentage of the price the customer paid for the item after discounts, and it is deducted from the refund. Fees are charged only on items returned opened or used and never on defective or damaged items.

| Category         | Return window | Unopened or unused | Opened or used (not defective)                                | Defective or damaged |
|------------------|---------------|--------------------|---------------------------------------------------------------|----------------------|
| Electronics      | 30 days       | No fee             | 15% restocking fee                                            | No fee               |
| Furniture        | 45 days       | No fee             | 20% restocking fee                                            | No fee; free pickup  |
| Home Decor       | 60 days       | No fee             | No fee                                                        | No fee               |
| Kitchen & Dining | 60 days       | No fee             | 10% restocking fee on small appliances; no fee on other items | No fee               |
| Bedding & Bath   | 45 days       | No fee             | 10% restocking fee                                            | No fee               |
| Apparel          | 90 days       | No fee             | No fee                                                        | No fee               |
| Outdoor & Garden | 45 days       | No fee             | 10% restocking fee                                            | No fee               |

Notes to the table:

- Small appliances in Kitchen & Dining are air fryers, stand mixers, coffee makers, electric kettles, countertop blenders and toasters. Cookware, knives, dinnerware, glassware, storage and flatware carry no fee.
- Electronics are the only category that also requires the serial number to be captured at the return.
- Items marked **Final Sale** (including clearance priced at 70 percent off or more), gift cards and personalized items cannot be returned unless defective.

### 3. General conditions

- **Proof of purchase.** A return is matched to an order by receipt, order number, or the customer's Lumen Rewards ID. A customer who has none of these is handled under the no-receipt rules in the Asset Protection memo in force.
- **Return window.** The window in section 2 runs from the purchase date in store, or the delivery date for online and delivered orders. Lumen Rewards Gold members receive 15 extra days on every window.
- **Condition.** An item is *unopened or unused* when its packaging is sealed and it shows no sign of use. It is *opened or used* when the packaging has been opened or the item has been assembled, worn, washed or plugged in. It is *defective or damaged* when it does not work as described or arrived damaged; the cashier records the condition code at the point of sale (see the Store Operations SOP).
- **Original packaging.** Electronics and small appliances must come back with all accessories and the original packaging. Missing accessories are deducted from the refund at replacement cost.
- **Same item exchanges** are never charged a restocking fee.

### 4. Refund methods and timing

- Refunds go back to the original form of payment. In store, the refund posts within 3 to 5 business days.
- Cash purchases are refunded in cash up to \$250. A cash refund above \$250 is issued by check from Accounts Payable.
- Online returns are refunded within 7 business days of the item arriving at the returns center.
- A customer with no proof of purchase receives store credit only, within the limits set by Asset Protection.
- Promotional discounts are kept in the refund calculation: the refund is the amount actually paid for the item, not its list price.

### 5. Online orders and mail returns

Items bought on Lumen.com can be returned in any Lumen store under the same window and fee rules (buy online, return in store), or by mail.

- **Mail returns** use the prepaid label in the order confirmation. A \$7.95 label fee is deducted from the refund unless the item is defective, damaged in transit, or the wrong item was sent.
- **Furniture pickup.** Furniture that is not defective is collected by the carrier for a \$79 pickup fee, deducted from the refund. Pickup is free for defective or damaged furniture.
- **Holiday extension.** Purchases made between November 1 and December 24 may be returned until January 31 of the following year. Electronics purchased in that period may be returned until January 15.

## 6. Approvals and exceptions

| Situation                              | Who may approve              | Limit                                               |
|----------------------------------------|------------------------------|-----------------------------------------------------|
| Standard return within the window      | Cashier                      | Up to \$250.00 per transaction                      |
| Return above \$250.00                  | Store Manager                | Up to \$1,000.00                                    |
| Return above \$1,000.00                | Regional Operations Director | No limit                                            |
| Return up to 7 days outside the window | Store Manager                | Once per customer per year                          |
| Restocking fee waiver                  | Store Manager                | Reason code RF-WAIVE; maximum 2 per store per month |

A restocking fee waiver must be recorded with the order number and a short reason. Regional Finance reviews waiver volumes each quarter, and a store that exceeds its limit twice in a row loses waiver authority for 90 days.

## 7. Fraud controls

Colleagues must not refuse a legitimate return because of a suspicion they cannot support. Asset Protection monitors return patterns and issues store-specific rules. Stores placed on enhanced monitoring report daily return exceptions to Asset Protection. A customer who makes more than six returns in 90 days is flagged for review but is not refused at the till.

## 8. Revision history

| Version | Date               | What changed                                                                                                                                |
|---------|--------------------|---------------------------------------------------------------------------------------------------------------------------------------------|
| 4.2     | January 15, 2026   | Electronics restocking fee raised from 10% to 15%; furniture return window extended from 30 to 45 days; mail return label fee set at \$7.95 |
| 4.1     | March 1, 2025      | Added the 15-day Gold member window extension; holiday extension aligned to January 31                                                      |
| 4.0     | September 15, 2024 | Policy reissued with category-based restocking fees                                                                                         |